

1.

CASE #	CASE NAME	HEARING NAME
CVPS2304017	MIRAMORE, LLC VS TYLER	MOTION FOR SUMMARY ADJUDICATION ON COMPLAINT OF MIRAMORE, LLC

Tentative Ruling: Denied.

Responding defendants to provide notice pursuant to CCP 1019.5.

Steven Traxler ("Traxler") purchased property in Palm Springs on August 6, 2020 (the "Property"). Traxler's interest in the property has been assigned to Plaintiff Miramore, LLC. Traxler did not visit the Property prior to purchasing and relied on his real estate agents Brian Sullivan, Keller Williams Luxury Homes ("Keller Williams") and Michael Hilgenberg ("Hilgenberg") and the sellers Richard John Tyler ("Tyler") and Lisa Trafficante's ("Trafficante") disclosure statements regarding the Property. It is alleged that Tyler and Trafficante stated in the Property's listing that it had new plumbing, which was false. Plaintiff alleges that the seller's real estate agent and broker of record – John White ("White"), Berkshire Hathaway Homeservices California Properties ("Berkshire"), and AC Palm Desert Corporation ("AC Palm"), should have been aware that this assertion was false. Plaintiff contends that Traxler hired Advantage Inspection Professionals, LLC ("Advantage") to inspect the Property, which found no issues with the Property. After Traxler moved into the Property, he discovered that the plumbing did not work properly. The toilets did not flush all the way or properly fill. After retaining a plumber, it was discovered that the pipes were not new and had been destroyed by a nearby Ficus's root structure. Plaintiff had to remove massive amounts of mature landscaping and destroy the manicured grounds to fix the issue. This cost Plaintiff in excess of \$200,000. Traxler also became aware of frequent helicopter activity overhead because the Property is located in the helicopter flight path of the nearby hospital's emergency helipad. This, too, was not disclosed.

The operative Complaint, filed August 8, 2023, asserts causes of action for: (1) Violation of Civil Code § 1102; (2) Failure to Disclose Material Facts; (3) Fraud; (4) Breach of Duty to Disclose; (5) Breach of Duty to be Honest and Truthful; (6) Negligence; (7) Negligence; and (8) Negligence.

On July 24, 2024, Tyler and Trafficante filed a cross complaint against White and AC Palm for (1) Breach of Fiduciary Duty; (2) Negligence; (3) Implied Indemnity; and (4) Declaratory Relief.

Trial is currently set for September 11, 2026/ MSA was previously heard and partially adjudicated on August 5, 2026. Specifically, evidentiary objections and the 1st cause of action. This ruling concludes that partial ruling by adjudicating the 4th and 6^h causes of action.

4th Cause of Action – Breach of Duty to Disclose (against Brokers)

Plaintiff argues Brokers violated Civil Code section 2079 by failing to disclose the Property did not have new plumbing, contrary to the MLS listing, and failed to disclose the

helicopter traffic noise, which White had actual knowledge of. Plaintiff asserts the MLS listing stating the Property has “New Plumbing” gave Plaintiff comfort and he did not have any reason to believe the sewer lines were broken, corroded and filled with Ficus tree roots.

In opposition, Brokers maintain they did not represent to Plaintiff that all the plumbing was new. White did not have specific knowledge of plumbing issues. White identified areas where there was new plumbing based on information from Sellers. Brokers point out the plumbing issue only came to light because of a “sewer gas smell.” The plumber could not visually see any problems with the plumbing. Likewise, White did not have specific knowledge that helicopters come and go from the nearby trauma center.

At hearing on August 5, 2026, this Court granted Brokers’ request to continue summary judgment pursuant to Code of Civil Procedure section 437c, subdivision (h) to receive Sullivan’s deposition testimony on the grounds the testimony may demonstrate Plaintiff’s knowledge of the alleged plumbing issues and helicopter noises. (Alvarez Decl., ¶5.) Exhibit A to Brokers’ Compendium of Evidence (“BCOE”) was reserved for Sullivan’s certified deposition transcript, hereinafter “Sullivan Depo”. (*Id.* at ¶7.)

Civil Code section 2079, subdivision (a), requires that a real estate broker or salesperson “to conduct a reasonably competent and diligent visual inspection of the property offered for sale and disclose to that prospective buyer all facts materially affecting the value or desirability of the property that an investigation would reveal, if that broker has a written contract with the seller to find or obtain a buyer or is a broker who acts in cooperation with that broker to find and obtain a buyer.”

Here, it is undisputed White was the listing agent for the Property as an agent of Berkshire. (UF #1.) Plaintiff presents evidence that among other details and descriptions of the Property, the Listing also stated that the Property had “new plumbing.” (UF #3) Traxler purchased the Property in reliance on the listing stating the Property had “new plumbing”. (UF #4.) However, Plaintiff’s own evidence indicates “Jimmy the Plumber” had to remove one of the bathtubs and cut a hole in the floor to find the broken plumbing pipes, waste, and sewer water. (UF #13.) The Plumber further ran a camera down the pipe. (UF #16.)

Civil Code section 2079, subdivision (a) requires a broker to disclose visual issues only. Based on the evidence that the plumber had to remove a bathtub, cut a hole into the floor, and run a camera down a pipe, the plumbing issues are not visual that requires disclosure under section 2079, subdivision (a).

Moreover, “In a real estate transaction, ‘whether the matter which was not disclosed was of sufficient materiality to have affected the value or desirability of the property is...a question of fact.’ [citation.]” (*Calemene v. Samuelson* (2009) 171 Cal.App.4th 153, 162.)

Unless the moving party meets its initial burden, summary judgment cannot be ordered, even if the opposing party has not responded sufficiently, or at all. (*Vesely v. Sager* (1971) 5 Cal.3d 153, 169-170, superseded by statute on another point, as noted in *Ennabe v. Manosa* (2014) 58 Cal.4th 697, 701, 707; *FSR Brokerage, Inc. v. Superior Court* (1995) 35 Cal.App.4th 69, 73, fn. 4.)

Assuming arguendo, Plaintiff met his initial burden, Brokers met their burden presenting a triable issue of material fact through Sullivan's deposition testimony.

Sullivan testified that he, as Plaintiff's real estate agent, visited the Property ten to twelve times during the transaction and described the neighborhood as quiet and free of helicopter noise, and Plaintiff never asked Sullivan to investigate helicopter traffic. (Sullivan Depo., pg. 16:17-17:5; 19:16-20; 25:18-22; 26:22-27:21.) As to the plumbing, Sullivan admitted that Sellers did not state that every plumbing component in the house was new, that the Sellers were uncertain regarding the cantina bar and upstairs plumbing, and did not represent that every pipe had been replaced or was new. (*Id.* at pg. 46:9-47:9, 47:20-24.) Sullivan testified that Plaintiff waited for clarification regarding the plumbing improvements before removing contingencies. (*Id.* at pg. 49:5-12; 51:5-52:13.)

Based on the foregoing, there are triable issues of material fact as to whether Brokers had specific knowledge about the helicopter noise and whether there was truly a representation about "new plumbing" at the Property.

6th Cause of Action – Negligence (against Brokers)

Plaintiff argues Brokers negligently published the MLS statement that the Property had "New Plumbing," which is false, misleading, and inaccurate, in violation of Civil Code section 1088, subdivision (b).

In opposition, Brokers argue Plaintiff fails to submit undisputed facts that a misrepresentation occurred.

Civil Code section 1088, subdivision (b) states, "If an agent or appraiser places a listing or other information in the multiple listing service, that agent or appraiser shall be responsible for the truth of all representations and statements made by the agent or appraiser of which that agent or appraiser had knowledge or reasonably should have had knowledge to anyone injured by their falseness or inaccuracy."

The MSA as to this cause of action fails for the same reasons set forth under the 4th cause of action: there is a triable issue of material fact as to whether misrepresentations were made by Brokers.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2508344	MERRELL VS VYLLA SOLUTIONS LLC	DEMURRER ON 2ND AMENDED COMPLAINT OF MICKALA D MERRELL BY CENTER STREET LENDING

Tentative Ruling: Sustained.

Sustained as to entire complaint. Plaintiff granted one additional opportunity for leave to file a 3rd Amended Complaint within 10 days of this order becoming final.

Moving party to provide notice pursuant to CCP 1019.5.